

Government spending



Government spending makes up a large part of GDP in modern economies. Even in market economies like the US and UK, it is in the order of 40 per cent of national income. Historically, as economies have developed, governments have undertaken a wider range of tasks of increasing complexity. Provision of state education broadens, the government supplies more kinds of health services, and the welfare system provides for the unemployed, infirm and elderly.

Government spending on areas such as defence, hospitals, libraries and the education system all go into GDP. The other big category of government outlays encompasses welfare payments such as pensions and unemployment benefits: economists call such payments 'transfer payments'. Unlike the payment of a nurse's salary, for example, they are not made in exchange for any economic output. They merely transfer spending power from one set of people to another, and for this reason they are not included in GDP.